

Notes: Booth & Smith (JFE, 1986)

Capital Raising, Underwriting and the Certification Hypothesis

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1 Big picture

- **Question.** Why do firms use investment banks in securities issuance, especially when some alternatives such as rights offerings or competitive bids appear cheaper?
- **Main answer.** Underwriters certify that the issue price is consistent with insiders' private information. The investment bank leases its reputational capital to the issuer, reducing the adverse-selection discount that outside investors would otherwise apply.
- **Central friction.** Managers and existing shareholders know more than outside investors about firm value and future earnings. A new issue can therefore be interpreted as a signal that insiders believe securities are overpriced.
- **Certification mechanism.** A reputable underwriter makes a costly investment in discovering firm information and puts its reputational capital at risk. Because the underwriter repeatedly certifies issues, cheating on one issue threatens future quasi-rents.
- **Key theoretical insight.** Firms could in principle bond themselves, but an underwriter can economize on bonding costs by using the same reputation repeatedly across many issuers.
- **Security-type implication.** The value of certification is highest for securities most exposed to adverse inside information. Equity requires more certification than safer debt, and risky debt requires more certification than safe debt.
- **Contract-choice implication.** More complete certification should be associated with firm-commitment underwriting and negotiated underwriting. Less complete certification should be associated with best-efforts, rights, self-registration, or competitive underwriting.
- **Cost implication.** Underwriter compensation should rise with firm-specific information risk and fall with issue size because underwriting has scale economies.
- **Pricing implication.** If certification is incomplete, issue prices may be discounted. This discount can substitute for direct certification effort.
- **Empirical evidence.** The paper studies SEC Registered Offering Statistics data from 1977–1982, seasoned new equity issues from 1971–1982, and public utility bond issues. The results support the certification hypothesis.
- **Takeaway.** Investment banks are not merely distributors or risk bearers. They are reputational intermediaries that reduce asymmetric-information costs in capital raising.

2 Incremental contribution of the paper

2.1 What the paper adds relative to earlier capital-raising research

- Earlier studies documented flotation costs, underwriting spreads, underpricing, and the choice between rights offerings and underwritten offers, but did not provide a unified explanation for why issuers voluntarily pay for apparently expensive underwriter services.
- Booth and Smith introduce the **certification hypothesis**: underwriters certify that the issue price reflects adverse inside information, thereby mitigating the lemons problem in new securities issues.
- The paper shifts attention from the mechanical distribution role of investment banks to their role as **reputational capital providers**.
- The paper also connects underwriting to Klein–Leffler-style product-quality certification: a trusted intermediary can earn quasi-rents only if it preserves its reputation.

Interpretation: The incremental contribution is conceptual and empirical. Conceptually, the paper explains why issuers use underwriters despite direct costs. Empirically, it derives and tests implications across underwriting compensation, underwriting method, negotiated versus competitive contracts, and issue price discounts.

2.2 What is new relative to asymmetric-information theories of security issuance

- Myers–Majluf-style adverse selection implies that new issues can be interpreted negatively because insiders prefer to issue overpriced securities.
- Booth and Smith ask how firms can reduce this adverse-selection problem through third-party certification.
- The underwriter does not eliminate asymmetric information mechanically; rather, it invests in becoming informed and credibly certifies that the price is fair.
- This produces new testable predictions about the choice and cost of certification.

Interpretation: The paper complements adverse-selection models. It does not deny that new issues convey bad news. Instead, it explains why underwriting arrangements can reduce the price discount that adverse selection would otherwise impose.

2.3 What is new relative to risk-bearing explanations of underwriting

- A pure risk-bearing theory predicts that underwriting compensation should rise with market risk because the underwriter bears price risk.
- The certification hypothesis predicts that compensation should be more related to firm-specific information risk than to systematic risk.
- Table 2 supports the certification view: systematic variance is not significant, while the unique/systematic variance ratio is significantly positive for industrial firms.

Interpretation: This is one of the paper’s sharpest contributions. It distinguishes information certification from risk bearing by showing that compensation is tied to a proxy for private-information risk, not market risk.

2.4 Broader contribution to financial intermediation

- The paper provides an early formal argument that investment banks solve information problems through reputation.
- It predicts when certification is more valuable: lower-priority securities, larger issues, more firm-specific uncertainty, and negotiated arrangements.
- The paper helps explain why the underwriting market is not organized only around the cheapest mechanical distribution method.

Interpretation: The paper is an early foundation for later work on underwriter reputation, IPO certification, analyst/investment-bank conflicts, and the broader certification role of financial intermediaries.

3 Institutional setting and measurement

3.1 Security issuance methods

- The paper distinguishes several issuance methods: firm commitment, best efforts, rights with standby, rights without standby, and self-registration.

- A **firm commitment** underwriting involves the underwriter purchasing the issue and reselling it to investors. It is the strongest certification form because the underwriter effectively states a value and exposes itself to reputational and distribution risk.
- A **best-efforts** arrangement provides weaker certification because the underwriter does not commit to buy the issue.
- A **rights offering without standby** provides little direct underwriter certification because existing shareholders receive the purchase rights and the underwriter does not guarantee value.
- A **rights offering with standby** adds some certification because the standby underwriter commits to buy unsubscribed shares.
- **Self-registration** involves no underwriter and is most plausible when issuers and buyers already share information or when an active resale market is not central.

Interpretation: The more the underwriter exposes its reputation or capital, the more complete the certification. The paper therefore treats issuance method as an observable proxy for the intensity of certification.

3.2 Initial versus non-initial registered offerings

- The SEC Registered Offering Statistics Tape distinguishes initial registered offerings (IRs) from non-initial registered offerings (NIRs).
- Initial registered offerings are made by firms not previously registered with the SEC.
- Non-initial registered offerings are issues by firms already registered with the SEC.
- NIRs should generally be easier to certify because market participants have more public information about the issuer.

Interpretation: The difference between IRs and NIRs matters because certification is more valuable when outside investors have less public information and asymmetric information is more severe.

3.3 Competitive versus negotiated underwriting

- In a **competitive** underwriting, underwriters bid to handle the issue. The issuer selects the lowest-cost bid.
- In a **negotiated** underwriting, the issuer selects an underwriter and negotiates terms.
- Negotiated underwriting allows the underwriter to acquire more issuer-specific information before pricing.
- Competitive underwriting may be cheaper in direct spread terms but may involve less certification.

Interpretation: The certification hypothesis predicts that negotiated underwriting should be more common when certification is more valuable, especially for securities with more private-information risk.

3.4 Measurement of underwriting compensation

The paper uses underwriter compensation as a percent of issue proceeds:

$$COMP_i = \frac{\text{underwriter compensation}_i}{\text{issue proceeds}_i}. \quad (1)$$

- Compensation includes the direct amount paid to the underwriter.
- The paper treats compensation as reflecting both distribution services and certification costs.

- Since certification requires learning firm-specific information, compensation should increase with information risk.

Interpretation: If underwriting services are competitively supplied, the direct spread should reflect the cost of producing certification and placing the issue.

3.5 Risk measures

Using monthly stock returns before issuance, the paper decomposes total variance into:

- **systematic variance:** the variance of predicted returns from a market-model regression;
- **unique or non-systematic variance:** the variance of residual returns;
- **unique/systematic variance ratio:** a proxy for the magnitude of firm-specific private information.

Interpretation: Firm-specific risk is not a perfect measure of inside information, but it is a plausible proxy because private information is largely firm-specific rather than market-wide.

4 Theoretical framework

4.1 Adverse selection in new issues

- Insiders may issue securities when outside investors overestimate firm value.
- Outside investors anticipate this and discount new issues.
- The announcement of a new issue can therefore reduce the market value of the issuing firm.
- Financing is worthwhile only when investment opportunities are valuable enough to overcome this discount.

Interpretation: Without certification, an Akerlof-style lemons problem can restrict the flow of risky capital to firms.

4.2 Quasi-rents from credible pricing

Let X_t^1 be the time- t value to existing shareholders of profitable projects if outsiders believe the issue price is consistent with inside information. Let X_t^0 be the value if outsiders discount the issue announcement. Define the quasi-rent:

$$Y_t = X_t^1 - X_t^0. \quad (2)$$

Interpretation: Y_t is the value of credible certification. It is the incremental value from investors believing that the issuer is not opportunistically overpricing the securities.

4.3 Condition for insiders not to cheat

Suppose insiders can obtain a one-time wealth transfer W by overpricing. Let r be the discount rate and t the interval between issues. A no-cheating condition is:

$$\frac{Y}{e^{rt} - 1} > \frac{W}{e^{rt}}. \quad (3)$$

Interpretation: The present value of future quasi-rents from honest behavior must exceed the present value of the one-time gain from cheating.

4.4 Bonding requirement

Because outsiders cannot directly know whether the no-cheating condition holds, they require an observable bond B satisfying:

$$B > \frac{W}{e^{rt}}. \quad (4)$$

Interpretation: The bond is a credible commitment not to overprice. It must be large enough to make cheating unattractive from the perspective of outside investors.

4.5 Why underwriters can reduce bonding costs

- A single issuing firm may issue securities infrequently.
- If it must build its own reputation, the bond is idle most of the time.
- An investment bank certifies many issues and can reuse its reputation across issuers.
- Thus, the underwriter effectively leases reputational capital to each issuer.

If the underwriter's bond can be used sequentially by n firms during a single issue interval, the issuer's rental cost is proportional to:

$$\frac{B(e^{rt/n} - 1)}{e^{rt} - 1}. \quad (5)$$

Interpretation: This is the central scale economy: specialization in certification allows the underwriter to spread a reputational investment across many clients.

4.6 Certification cost and net gain from underwriting

Let C be the cost incurred by the underwriter to become informed. The issuer benefits from underwriter certification when:

$$Y - C > B(e^{rt/n} - 1). \quad (6)$$

Interpretation: Certification is valuable only if the gain from reducing the adverse-selection discount exceeds the underwriter's information-production cost plus the rental cost of reputational capital.

4.7 Implications of the model

1. **Issue costs and information risk.** Underwriter compensation should increase with firm-specific information risk.
2. **Issue costs and scale.** Underwriter compensation as a percent of proceeds should fall with issue size.
3. **Security type.** Securities more sensitive to inside information should use more complete certification.
4. **Underwriting arrangement.** Firm commitment and negotiated underwriting should be more common when certification value is high.
5. **Price discounts.** When certification is incomplete, issue price discounting can substitute for direct certification.

Interpretation: The model produces predictions not only about whether underwriters are used, but also about spreads, contract types, and issue pricing.

5 Empirical specifications

5.1 Underwriter compensation regression

The main compensation regression is:

$$COMP_i = a_0 + a_1 VAR_i^S + a_2 \left(\frac{VAR_i^U}{VAR_i^S} \right) + a_3 \log(SIZE_i) + e_i. \quad (7)$$

- $COMP_i$ is underwriter compensation as a percent of issue proceeds.
- VAR_i^S is systematic variance of monthly returns.
- VAR_i^U is unsystematic variance of monthly returns.
- VAR_i^U / VAR_i^S proxies for firm-specific asymmetric information.
- $\log(SIZE_i)$ captures issue-size scale economies.

Interpretation: The certification hypothesis predicts $a_2 > 0$ and $a_3 < 0$. It has no strong prediction for a_1 . The risk-bearing hypothesis predicts a positive relationship with market risk.

5.2 Underwriting-arrangement logit

The paper estimates logit models of underwriting choice:

$$DECISION = a_0 + a_1 DEBT + a_2 RATING + a_3 \log SIZE(EQUITY) + a_4 \log SIZE(DEBT). \quad (8)$$

- In one set of models, $DECISION = 1$ for firm commitment rather than other arrangements.
- In another set, $DECISION = 1$ for negotiated rather than competitive underwriting.
- $DEBT$ indicates debt issues.
- $RATING$ measures credit rating for rated debt.

Interpretation: Certification has fixed costs, so larger issues should be more likely to use more complete certification. The expected sign on issue size is generally positive.

5.3 Public utility bond pricing test

For public utility bonds, the paper compares the first secondary-market price to the original offer price and to a benchmark seasoned bond of the same rating:

$$NetDiscount = (P_1 - P_0)_{benchmark} - (P_1 - P_0)_{new\ issue}. \quad (9)$$

- A larger net discount means the new issue was priced more favorably to investors relative to comparable seasoned bonds.
- The paper compares competitive and negotiated issues by rating class.

Interpretation: If competitive underwriting provides less certification, riskier competitive issues may require larger price discounts.

6 Identification and empirical design

6.1 What identifies the evidence

- The paper uses cross-sectional variation in security type, issue size, underwriting method, industry regulation, risk, and credit rating.
- It compares compensation across issues with different firm-specific risk.
- It compares underwriting choice across initial/non-initial registrations, utilities/non-utilities, and debt/equity.
- It compares public utility bond price discounts across competitive and negotiated underwriting arrangements.

Interpretation: The empirical design is not a causal quasi-experiment. It is a theory-guided set of cross-sectional tests of predictions unique to the certification hypothesis.

6.2 Why regulated industries are separated

- Public utilities and banks are regulated in ways that may reduce information asymmetry.
- Regulation can force disclosure, constrain investment, and limit managerial discretion.
- Therefore non-systematic risk may be a weaker proxy for private information in these industries.

Interpretation: The paper's finding that the unique/systematic risk ratio matters most for industrial firms is consistent with this logic.

6.3 What the paper cannot fully prove

- The proxies for private information are indirect.
- Underwriter compensation includes distribution, marketing, risk-bearing, and certification components.
- Underwriting choice may be affected by legal restrictions, especially for public utilities.
- The empirical tests are cross-sectional and cannot isolate all selection effects.

Interpretation: The strength of the evidence lies in the alignment of many predictions, not in a single clean natural experiment.

7 Tables and figures

7.1 Table 1: Methods of security issuance

Read:

- Firm commitment underwriting is the dominant issuance method for non-initial registered offerings.
- For NIRs, firm commitment use is 98.9% for mortgage bonds, 72.4% for straight bonds, 95.3% for preferred stock, 94.5% for convertible bonds, 94.6% for convertible preferred, and 81.5% for common stock.
- For IRs, firm commitment use is much lower, especially for common stock, where it is 40.0%.
- Negotiated underwriting is especially common for lower-priority securities and non-utility issues.
- Among non-utility NIRs, negotiated underwriting is 97.0% for straight bonds, 94.7% for preferred stock, and almost universal for convertible and common stock.

Economic message: The table shows that issuers often choose more costly firm-commitment and negotiated arrangements when certification is more valuable. The pattern is difficult to explain by distribution costs alone.

Table 1

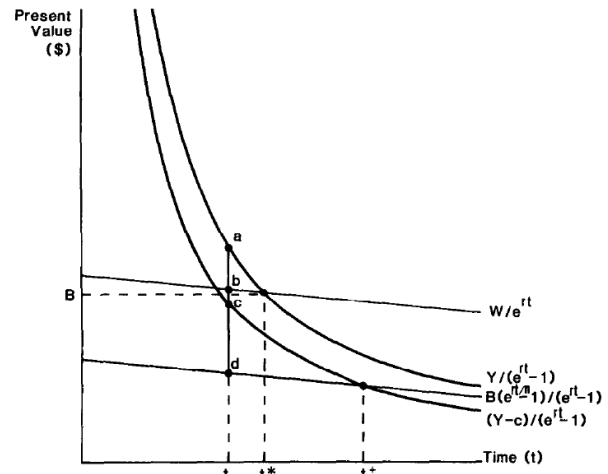
Alternative methods of security issuance by type of security (1977–1982). The table summarizes data from the Registered Offering Statistics Tape provided by the Securities and Exchange Commission. Data include all issues listed on the tapes where type of underwriting arrangement could be identified. Rule 415 security issues are excluded. The type of underwriting arrangement varies based on security type and whether the offering is an initial registration. Firm commitment is the most common arrangement. Among firm commitment issues, choice of competitive versus negotiated offering is related to the priority of the security claim. Competitive underwriting is less common despite its lower level of underwriter compensation.

Method of security issuance	Type of security					
	Mortgage bonds	Straight bonds	Preferred stock	Convertible bonds	Convertible preferred stock	Common stock
<i>Use of underwriters</i>						
<i>Non-initial registered offerings (NIR)^a</i>						
Firm commitment ^b	454	896	221	240	70	1,008
Best effort	2	128	0	5	1	27
Rights with standby	0	7	1	4	0	29
Rights without standby	1	2	3	3	1	67
Self-registered ^c	2	205	7	2	2	106
Percent firm commitment	98.9	72.4	95.3	94.5	94.6	81.5
<i>Initial registered offerings (IR)</i>						
Firm commitment ^b	29	68	1	14	4	396
Best effort	3	22	0	2	0	470
Rights with standby	0	0	1	0	0	5
Rights without standby	1	0	1	1	0	14
Self-registered ^c	1	28	3	3	3	106
Percent firm commitment	87.9	57.6	16.7	70.0	57.1	40.0
<i>Types of firm commitment underwriting arrangements</i>						
<i>Non-initial registered offerings (NIR)^a</i>						
<i>Utilities</i>						
Negotiated	201	58	122	5	7	413
Competitive	199	12	61	0	0	43
Percent negotiated	50.2	82.9	67.7	100.0	100.0	90.6
<i>Other industries</i>						
Negotiated	35	816	36	235	63	551
Competitive	19	25	2	0	0	1
Percent negotiated	64.8	97.0	94.7	100.0	100.0	99.8

^aIncludes initial offers of securities for firms already registered with the SEC.

^bData set includes all firm commitment offerings that could be identified as being underwritten either competitively or on a negotiated basis for the 1977–1982 period.

^cIncludes issues where no underwriter was utilized. Self-registration tends to occur between issuers and investors with much in common and where an active securities market is of little value.



1. Relationship of gain from reputational investment to issue frequency. The figure i

7.2 Figure 1: Gain from reputational investment to issue frequency

Read:

- The figure compares self-provided bonding with underwriter-provided bonding.
- W/e^{rt} is the potential one-time wealth transfer from cheating.
- $Y/(e^{rt} - 1)$ is the present value of future quasi-rents from honest pricing.

- $(Y - C)/(e^{rt} - 1)$ nets out the underwriter's certification cost.
- $B(e^{rt/n} - 1)/(e^{rt} - 1)$ is the cost of leasing the underwriter's reputation.
- For firms with intermediate issue frequency, underwriter certification yields larger net gains than self-certification.

Economic message: The figure formalizes why an underwriter exists as a specialist. It can spread reputational capital across issuers and reduce the cost of credible certification.

7.3 Table 2: Underwriter compensation, unique risk, and systematic risk

Read:

- For industrial companies, the coefficient on unique/systematic variance is 0.081 and statistically significant with a t -value of 3.24.
- Systematic variance is insignificant for all three industry groups.
- The log of issue size is negative and significant for industrials, public utilities, and banking firms.
- The R^2 is high for industrials at 0.61 and for banks at 0.45, but lower for public utilities at 0.15.

Economic message: Compensation is related to firm-specific information risk, not systematic market risk. This supports certification over pure risk-bearing.

Table 2

Underwriter compensation as a percent of issue proceeds as a function of unique and systematic risk (1971–1982). The table indicates that underwriter compensation is: positively related to the ratio of unique to systematic risk which proxies for potential asymmetric information and negatively related to the natural log of issue size, but unrelated to systematic variance. Data include all seasoned new equity issues over the 1971–1982 period that were listed on the Registered Offering Statistics Tape of the SEC and for which at least 60 monthly returns prior to issuance were available from Compustat. Public utilities and banking firms are examined separately since regulation tends to weaken the relationship between unique risk and the magnitude of asymmetric information.

Independent variables	Regression results by industry grouping ^a		
	Industrial companies	Public utilities	Banking firms
Intercept	-0.280 (1.63)	-2.212 ^b (8.38)	-0.168 (0.21)
Systematic variance	-0.0001 (0.00)	-0.024 (0.80)	0.173 (1.37)
Unique/systematic variance	0.081 ^b (3.24)	0.035 (1.22)	0.157 (1.17)
log(<i>SIZE</i>)	-0.275 ^b (19.01)	-0.130 ^b (10.65)	-0.199 ^b (3.62)
R^2	0.61	0.15	0.45
Observations	279	685	20

^aAbsolute t -values in parentheses.

^bSignificant at 0.05 level.

Table 3

Estimated coefficients from logit analysis of the relationship between type of underwriting arrangement and issue size for various types of security issues (1977–1982). The analysis is based on data from the Registered Offering Statistics Tape of the SEC. Independent variables are defined as follows: *DEBT* is a binary variable which takes on the value 1 for debt issues; *RATING* is an ordinal variable which takes on the value 0 for non-rated debt, the value 1 for debt rated below B, and increasing numbers thereafter; log *SIZE*(*EQUITY* and *DEBT*) are the natural logs of issue size for equity and debt issues, respectively. The binary dependent variables reflect choice of the type of underwriting arrangement and are scaled by the natural logs of the odds ratios for various types of issues and issue arrangements. The table indicates that more complete certification as proxied by use of firm commitment underwriting and negotiated issues is generally positively related to issue size for both debt and equity issues.

	Log of the odds of firm commitment versus other for non-utilities ^a		Log of the odds of negotiated versus competitive ^a	
	Non-initial registrations	Initial registrations	Public utilities	Non-utilities (debt only)
Constant	-2.1960 ^b (5.8878)	-3.2824 ^b (10.1504)	6.7950 ^b (7.5851)	3.6491 ^b (3.7368)
<i>DEBT</i>	-0.2954 (0.6091)	4.5211 ^b (7.8623)	-5.2997 ^b (5.2188)	
<i>RATING</i>	0.7291 ^b (10.2084)	0.4259 ^b (2.2222)	-0.3112 ^b (6.2673)	-0.5853 ^b (4.4364)
log <i>SIZE</i> (<i>EQUITY</i>)	1.0458 ^b (9.9996)	0.8829 ^b (9.4129)	-0.6660 ^b (4.4878)	
log <i>SIZE</i> (<i>DEBT</i>)	0.4849 ^b (8.2450)	-0.2021 ^b (1.9119)	0.1723 ^b (2.0698)	0.2505 (1.4889)
Observations	1857	1078	2373	895
No. firm commitment	1447	479		
No. negotiated			299	44

^aAbsolute t -values in parentheses.

^bSignificant at 0.05 level.

7.4 Table 3: Logit analysis of underwriting arrangement

Read:

- For non-utility NIRs, log issue size for equity and debt both positively predict firm commitment underwriting.
- For initial registrations, equity issue size positively predicts firm commitment underwriting.
- For public utilities, larger debt issues are more likely to be negotiated rather than competitive, while larger equity issues show a negative coefficient in the public utility specification.

- Bond rating affects underwriting choice, confirming that risk and priority matter.

Economic message: Larger issues tend to use more complete certification because fixed costs of certification can be spread over more proceeds. Underwriting choice is therefore endogenous to the cost-benefit trade-off of certification.

7.5 Table 4: Public utility bond spreads and price discounts

Read:

- Competitive underwriting spreads are lower than negotiated spreads on average: 0.711 versus 0.802.
- But competitive issues show a strong increase in net discount as rating worsens.
- Competitive Baa issues have a net discount of 2.370 and total spread plus discount of 3.246.
- Negotiated issues do not show the same systematic increase in discount with worse rating.
- Average total cost is 1.799 for competitive issues and 2.816 for negotiated issues, but the competitive advantage disappears for riskier debt.

Economic message: Price discounting can substitute for certification. When competitive underwriting provides weaker certification, investors demand a larger discount, especially for riskier bonds.

Table 4

Underwriter spread and price discount of competitive and negotiated public utility debt issues by Moody's rating (1977–1982). The data include all public utility debt issues where aftermarket price data were available from the *Commercial and Financial Chronicle* within twelve weeks of issue. Net discount is calculated by comparing the price change from issue to first published aftermarket price on the newly issued bond to the comparable price change on a hypothetical benchmark bond with the same rating. For each issue, P_0 is the offer price and P_1 is the first known aftermarket price. For the related index, P_0 is 100 and P_1 is the implied benchmark price based on the change in yield to maturity for outstanding public utility bonds assuming a twenty-year maturity.

Moody's rating (1)	Number of issues (2)	Average size (MM) (3)	Underwriter spread (4)	$(P_1 - P_0)$ Price change		Net discount (7)	Spread plus discount (8) = (4 + 7)
				Bond (5)	Benchmark (6)		
Competitive issues							
Aaa	16	192.5	0.580	-1.690	-1.602	-0.088	0.492
Aa	17	125.7	0.718	-0.767	-1.664	0.987	1.615
A	15	99.8	0.665	-0.442	-1.638	1.196	1.861
Baa	16	92.4	0.876	-3.578	-5.948	2.370	3.246
Sum	64						
Average		128.0	0.711	-1.643	-2.731	1.088	1.799
Negotiated issues							
Aaa	17	291.5	0.757	-3.281	-6.254	2.973	3.750
Aa	9	150.9	0.769	1.108	0.809	0.299	1.068
A	23	112.3	0.808	-1.608	-3.785	2.177	2.985
Baa	19	93.7	0.848	-0.787	-2.561	1.774	2.622
Sum	68						
Average		157.0	0.802	-1.436	-3.450	2.014	2.816

8 Short summary

- Booth and Smith propose the certification hypothesis of underwriting.
- The model begins from asymmetric information between insiders and outside investors.
- New issues can be interpreted as evidence that insiders believe securities are overpriced.
- Underwriters certify that issue prices reflect inside information.

- Certification is possible because underwriters have reputational capital and repeat business.
- An underwriter can economize on bonding costs by leasing reputational capital across many issuers.
- Certification is most valuable for securities and issuers with more private-information risk.
- Underwriter compensation should rise with firm-specific information risk and fall with issue size.
- The evidence supports this prediction for industrial seasoned equity issues.
- Firm commitment and negotiated underwriting are more common when certification value is high.
- Public utility bond evidence shows that incomplete certification through competitive underwriting can be offset by price discounts.
- The paper reframes investment banking as a reputational certification technology, not merely a distribution or risk-bearing service.

9 Conclusion

9.1 Core conclusion

Booth and Smith argue that underwriters exist because they certify security prices in the presence of asymmetric information. A reputable investment bank can make a credible statement that the offer price reflects available inside information, thereby reducing the adverse-selection discount faced by issuers.

9.2 Economic intuition

An issuing firm would like outside investors to believe that it is not exploiting them. But because insiders know more than outsiders, this claim is not credible on its own. An underwriter can rent reputational capital to the issuer. If the underwriter cheats by certifying overpriced issues, it loses future quasi-rents. This threat makes certification credible.

9.3 Incremental contribution

The paper's incremental contribution is to explain a broad set of underwriting facts with one mechanism. It links underwriting costs, issue method, negotiated versus competitive offerings, security priority, and issue price discounts to a common certification role. This contribution helped move the literature from viewing underwriters mainly as distributors or risk bearers toward viewing them as information intermediaries.

9.4 Takeaway

Underwriting is valuable because capital raising is an information problem. The more severe the private-information problem, the greater the value of a reputable certifier. This is why firms often pay for costly underwriting arrangements even when cheaper mechanical issuance methods exist.